

ERC-721 uses an all-or-nothing approach. An operator approved to use the NFTs can move any of them.

NFTs have interesting applications in DeFi. Their alternate name, *deeds*, implies their use case as representing unique ownership of unitary assets; an example could be ownership of a particular peer-to-peer loan with its own rates and terms. The asset could then be transferred and sold via the ERC-721 interface. Another use case might be to represent a share in a lottery, in which tickets could be considered non-fungible because only one or a limited number will win and the remainder are worthless. NFTs also have a strong use case in their ability to bridge financial and non-financial use cases via *collectibles* (e.g., a token could represent ownership of a piece of art, a video, music, or even a tweet, for example). NFTs can also represent scarce items in a gaming environment or other network and retain economic value in secondary markets for NFTs.

Multitoken Standard

ERC-20 and ERC-721 tokens require an individual contract and address deployed to the blockchain, which can be cumbersome for systems with many closely related tokens – possibly even a mix of fungible and non-fungible. The ERC-1155⁴ standard resolves this complexity by defining a multi-token model in which the contract holds balances for a variable number, including fungible and non-fungible. The standard also allows for batch reading and transfers, which saves on gas costs and leads to a smoother